

BOOK KEEPING & ACCOUNTANCY

Time: 3 Hrs.

Max. Marks: 80

Q.1. All objective questions are compulsory:

[20]

(A) Write the word/phrase/term which can substitute each of the following statements:

(5)

- (1) Credit balance of profit and loss account.
- (2) Donation received for a specific purpose.
- (3) The ratio which is obtained by deducting old ratio from new ratio.
- (4) Expenses incurred on dissolution of firm.
- (5) Tally software is classified into this category.

(B) Calculate the following:

(5)

- (1) Calculate 12.5% p.a. depreciation on furniture
 - (a) On ₹ 2,20,000 for 1 year
 - (b) On ₹ 10,000 for 6 months
- (2) Library books ₹ _____ Less 10% depreciation ₹ 5,000 = ₹ 45,000
- (3) Apte and Bhate are sharing profits and losses in the ratio 3 : 2, if Kate is admitted at 1/4 share then calculate new profit sharing ratio.
- (4) Ganesh draws a bill for ₹ 40,000 on 15th January, 2020 for 2 months. He discounted the bill with Bank of India @ 15% p.a. on the same day. Calculate the amount of discount.
- (5) From the following information, calculate Current Assets:
Debtors ₹ 60,000, Creditors ₹ 30,000, Bills payable ₹ 20,000, Stock ₹ 30,000, Loose tools ₹ 10,000, Bank overdraft ₹ 10,000.

(C) Do you AGREE / DISAGREE with the following statements:

(5)

- (1) Partnership is an association of two or more persons.
- (2) Not for profit concerns do not prepare Balance sheet.
- (3) Retiring partner is not entitled to share in general reserve and accumulated profit.
- (4) Dissolution takes place when the relation among the partners comes to an end.
- (5) The Authorised Capital is also known as Nominal Capital.

(D) Select the most appropriate alternative from the following and rewrite the sentences:

(5)

- (1) Maximum number of partners in a firm are _____ according to the Companies Act 2013.
 - (A) 10
 - (B) 25
 - (C) 20
 - (D) 50
- (2) Income and expenditure account is a _____ account.
 - (A) Capital
 - (B) Real
 - (C) Personal
 - (D) Nominal
- (3) If asset is taken over by the partner _____ account is debited.
 - (A) Revaluation
 - (B) Capital
 - (C) Asset
 - (D) Balance sheet
- (4) Death is compulsory _____.
 - (A) dissolution
 - (B) admission
 - (C) retirement
 - (D) winding up
- (5) The person on whom a bill is drawn is called a _____.
 - (A) drawee
 - (B) payee
 - (C) drawer
 - (D) acceptor

- Q.2.** The following is the Balance sheet of partners Aditya and Chaitanya on 31st March, 2019 they share profits and losses in the ratio of 3 : 2:

[10]

Balance Sheet as on 31st March, 2019

Liabilities	Amount ₹	Assets	Amount ₹
Creditors	60,000	Building	30,000
Capital Accounts:		Furniture	1,800
<i>Aditya</i>	42,000	Machinery	42,000
<i>Chaitanya</i>	42,000	Stock	24,600
Current Accounts:		Debtors	54,000
<i>Aditya</i>	7,500	Cash	6,000
<i>Chaitanya</i>	6,900		
	1,58,400		1,58,400

Adjustments:

They admitted Sachin into partnership on 1st April, 2019 on the following terms:

- (1) Building to be valued at ₹ 36,000, machinery and furniture to be reduced by 10%.
- (2) Sachin should pay ₹ 6,000 as his share of Goodwill. 50% of goodwill withdrawn by partners in cash.
- (3) A provision of 5% on debtors to be made for doubtful debts.
- (4) He should bring ₹ 18,000 as capital for 1/4th share in future profit.
- (5) Stock is to be taken at the value of ₹ 30,000.

Prepare:

- (i) Profit and Loss Adjustment Account
- (ii) Partners' Current Account.
- (iii) Balance Sheet of the New Firm.

OR

Given below is the Balance sheet of Amar, Akbar and Anthony who were sharing profits and losses equally:

Balance Sheet as on 31st March, 2020

Liabilities	Amount ₹	Assets	Amount ₹
Creditors	31,000	Cash	39,000
General Reserve	24,000	Debtors	32,000
Capital Accounts:		Less : R. D. D.	4,000
<i>Amar</i>	57,400	Furniture	30,000
<i>Akbar</i>	63,600	Machinery	80,000
<i>Anthony</i>	60,000	Motor Car	50,000
		Profit and Loss A/c	9,000
	2,36,000		2,36,000

Amar retired on 1st April, 2020 from the firm on the following terms:

- (1) Furniture to be valued at ₹ 28,000, Machinery ₹ 76,000 and Motor car ₹ 47,600.
- (2) R.D.D. to be maintained at 5% on debtors.
- (3) Goodwill of the firm is to be valued at ₹ 30,000. However, only Amar's share is to be raised in the books.
- (4) A part payment of ₹ 20,000 to be made to Amar and the balance to be transferred to his Loan Account.

Prepare:

- (i) Profit and Loss Adjustment A/c
- (ii) Partners' Capital Account
- (iii) Balance Sheet of the New firm.

Q.3. Hema, Manisha and Limsy were in partnership firm sharing profits and losses in the ratio of 5:3:2. They decided to dissolve their partnership firm on 31st March 2019 and their Balance sheet as on that date stood as:

[10]**Balance Sheet as on 31st March, 2019**

Liabilities	Amount ₹	Assets	Amount ₹
Capital Accounts:		Machinery	1,00,000
Hema	1,50,000	Debtors	50,000
Manisha	80,000	Stock	70,000
Reserve Fund	10,000	Cash at bank	30,000
Sundry Creditors	20,000	Limsy Capital A/c	20,000
Bills payable	10,000		
	2,70,000		2,70,000

The firm was dissolved on 31st March, 2019 and assets were realised as under:

- (1) Machinery realised 60% of its book value.
- (2) Out of debtors, Mr. Jagdish, our customer for ₹ 20,000 was declared insolvent and nothing could be recovered from him. Other debtors are good and recovered and realised.
- (3) Hema took stock at an agreed value of ₹ 50,000.
- (4) Creditors and Bills payable were paid at 10% discount.
- (5) Limsy became insolvent and nothing was recovered from her estate.

Prepare:

- (i) Realisation Account
- (ii) Partners' Capital Account
- (iii) Bank Account

OR

Rajesh sold goods on credit to Sulochana for ₹ 25,000. Rajesh draws a bill for ₹ 25,000 on Sulochana for 3 months. Rajesh discounted the bill with his bank @ 10% p.a. on the same day. On the due date of bill, Sulochana requested Rajesh to accept ₹ 5,000 including ₹ 1,000 for interest and to draw a bill for the balance for 3 months. Rajesh agreed to this proposal. One month before the due date, Sulochana retired the bill for ₹ 20,200.

Pass necessary Journal Entries in the books of Rajesh.

Q.4. Sameer and Company Limited invited applications for 25,000 Equity shares of ₹ 100 each payable as:

[8]

₹ 25 on application

₹ 50 on allotment

₹ 25 on first and final call

Applications were received for 30,000 Equity shares and pro-rata allotment were made to all. All the money was duly received except first and final call on 2,500 Equity shares.

Enter the above transactions in the books of Sameer and Company Limited.

OR

Give comparison between Manual Accounting Process and Computerized Accounting Process.

- Q.5.** Arun, Varun and Karun were partners in a business sharing profits and losses in the ratio of 2 : 2: 1 respectively. Their Balance sheet as on 31st March, 2019 was as under :

[8]

Balance Sheet as on 31st March, 2019

Liabilities	Amount ₹	Assets	Amount ₹
Capital Accounts:		Land and Building	27,900
Arun	20,000	Investment	15,000
Varun	20,000	Furniture	8,000
Karun	10,000	Debtors	10,400
Creditors	16,000	Less : R. D. D.	400
Bank Loan	4,000	Bank	4,100
		Goodwill	5,000
	70,000		70,000

On 1st July, 2019 Karun died and the following adjustments were made:

- (1) All the debtors were considered as good.
- (2) Bank Loan were paid off.
- (3) Furniture was depreciated by ₹ 550.
- (4) Investments were sold out in the Market at 10% profit.
- (5) Goodwill of the firm was valued at ₹ 7,500. It was to be raised in the books.
- (6) Karun was entitled to get his share in the profit up to the date of his death. Profit for 2019-2020 was estimated at ₹ 5,000.
- (7) The amount due to Karun's Executor was paid by NEFT.

Prepare:

- (a) Profit and Loss Adjustment A/c.
- (b) Partners' Capital Account
- (c) Balance sheet of New Firm.

OR

Convert following Trading Account and Profit and Loss Account into Vertical Income Statement:

**Trading, Profit and Loss Account
for the year ended as on 31st March, 2020**

Dr.		Cr.	
Particulars	Amount ₹	Particular	Amount ₹
To Opening stock	20,000	By Sales	1,20,000
To Purchases	90,000	By Closing Stock	30,000
To Carriage inward	500		
To Wages	10,000		
To Gross Profit c/d	29,500		
Total	1,50,000	Total	1,50,000
To Office expenses	12,500	By Gross Profit b/d	29,500
To Selling expenses	10,000		
To Finance expenses	3,000		
To Net Profit c/d	4,000		
	29,500		29,500

- Q.6.** From the following Receipts and Payments Account of “Matsyodari Engineering College, Aurangabad” for the year ending on 31st March, 2020 and additional informations, prepare Income and Expenditure Account for the year ending 31st March, 2020 and Balance Sheet as on that date:

[12]

**Receipts and Payments Account
for the year ended 31st March, 2020**

Dr.			Cr.
Receipts	Amount ₹	Payments	Amount ₹
To Balance b/d		By Salaries to Teaching Staff	10,00,000
Cash in hand	8,000	By Electricity charges	50,000
Cash at bank	1,00,000	By Books	64,000
To Interest	50,000	By Furniture	55,000
To Subscription	30,000	By Stationary	24,000
To Life Membership Fees	40,000	By Fixed Deposit	7,00,000
To Donation	5,00,000	By Balance c/d	
To Tuition fees	11,50,000	Cash in hand	20,000
To Term fees	2,00,000	Cash at bank	2,25,000
To Sundry Receipts	10,000		
To Admission Fees (Revenue)	50,000		
	21,38,000		21,38,000

Additional information:

Particulars	01.04.2019	31.03.2020
Books	7,00,000	7,00,000
Furniture	3,19,000	3,00,000
Building fund	10,00,000	?
Fixed Deposit	9,10,000	?
Capital Fund	10,37,000	?

Adjustments:

- (1) 50% Donations are for Building fund and the balance is to be treated a Revenue Income.
- (2) Outstanding subscription ₹ 5,300.
- (3) Life Membership fees are to be capitalised.

- Q.7.** Varsha and Harsha are partners sharing profits and losses in their capital ratio. You are required to prepare Trading Account, Profit and Loss Account for the year ending 31st March, 2020 and Balance sheet as on that date:

[12]

Trial Balance as on 31st March, 2020

Debit Balance	Amount ₹	Credit Balance	Amount ₹
Sundry Debtors	56,000	Sales	2,40,000
Purchases	1,10,000	Sundry Creditors	99,600
Plant and Machinery	1,60,000	Purchase Return	2,000
Furniture	1,05,800	Capital Accounts	
Salaries	8,600	Varsha	1,80,000
Sales Return	1,000	Harsha	60,000
Cash in hand	1,02,000	Current Accounts:	
Opening Stock	35,600	Varsha	10,000
Rent, Rates and Taxes	9,000	Harsha	6,000
Advertisement	9,600		
	5,97,600		5,97,600

Adjustments:

- (1) Stock on 31st March, 2020 was valued at ₹ 74,000.
- (2) Depreciation on Plant and Machinery @ 5% p.a.
- (3) Partners are entitled to get Interest on Capital at 5% p.a.
- (4) Outstanding expenses: Salaries ₹ 700.
- (5) Provide further Bad debts of ₹ 1,680 on Sundry debtors.